



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the Period Ended 30 June 2023

ORIENT FINANCE PLC
INCOME STATEMENT

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For the quarter ended 30th June	2023 Rs. Unaudited	2022 Rs. Unaudited
Income	1,089,331,133	809,809,044
Interest income	1,034,853,060	771,830,314
Interest expenses	(772,771,898)	(423,144,698)
Net interest income	262,081,162	348,685,616
Fee and commission income	39,962,168	17,554,338
Other operating income	14,515,905	20,424,392
Total operating income	316,559,235	386,664,346
Impairment charges for loans and receivables to customers	(37,298,779)	(15,043,934)
Net operating income	279,260,456	371,620,412
Operating expenses		
Personnel expenses	(167,956,238)	(151,298,332)
Depreciation and amortization	(28,487,767)	(16,409,887)
Other operating expenses	(131,369,210)	(115,942,807)
Operating profit/(loss) before Tax on Financial Services	(48,552,759)	87,969,386
Tax on Financial Services	(18,354,156)	(21,559,905)
Profit /(loss) before income tax	(66,906,915)	66,409,480
Income tax expense		-
Profit/(loss) for the period	(66,906,915)	66,409,480
Other comprehensive income to be reclassified to profit or loss in subsequent periods		
Fair value gain/(loss) on investment in quoted shares & T.Bond	67,005,366	(10,840,133)
Total comprehensive income/(expenses) for the period net of tax	98,451	55,569,347
Basic earnings per share (Rs.)	(0.32)	0.31

Figures in brackets indicate deductions.

Colombo
15th August, 2023

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

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As At	30th June 2023 Unaudited Rs.	31st March 2023 Audited Rs.
ASSETS		
Cash and cash equivalents	369,341,883	307,893,891
Financial assets - fair value through other comprehensive income	1,766,587,211	1,262,913,731
Loans and receivables	13,568,794,878	12,941,011,251
Investments with banks and other financial institutions	269,563,473	236,013,310
Other assets	743,422,560	657,440,798
Real estate stock	10,968,258	10,656,618
Deferred tax asset	369,577,434	369,577,434
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	22,340,083	25,097,945
Property, plant and equipment	70,239,834	70,733,416
Right-of-use-assets	86,573,713	96,792,682
Investment properties	690,316,463	690,316,465
Total assets	18,768,151,536	17,468,873,287
LIABILITIES		
Due to banks - bank overdrafts	493,669,820	240,846,238
Deposits from customers	12,007,406,913	10,759,498,577
Interest bearing borrowings	2,325,103,132	2,606,632,095
Right-of-use of Liability	31,602,449	46,222,825
Other Liability	573,105,847	482,218,634
Retirement benefit obligations	56,158,757	52,448,752
Total liabilities	15,487,046,919	14,187,867,121
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	375,736,747	375,736,747
Revaluation reserve	141,120,773	141,120,773
Retained earnings	332,368,058	332,269,607
Total equity	3,281,104,617	3,281,006,166
Total equity and liabilities	18,768,151,536	17,468,873,287
Net assets per share	15.54	15.54

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd.
Manjula Thennakoon
 Chief Financial Officer

Sgd.
K.M.M. Jabir
 Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

Sgd.
Rajendra Theagarajah
 Chairman

Sgd.
Prakash Schaffter
 Director

Colombo
15th August, 2023

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the period ended 30th June

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2022	2,431,879,039	375,736,747	141,120,773	383,142,776	3,331,879,335
Profit/(Loss) for the Quarter	-	-	-	66,409,480	66,409,480
Other comprehensive income (expense) net of taxes	-	-	-	(10,840,133)	(10,840,133)
Balance as at 30th June, 2022	0	2,431,879,039	375,736,747	438,712,123	3,387,448,682
Balance as at 01st April, 2023	2,431,879,039	375,736,747	141,120,773	332,269,607	3,281,006,166
Profit/(Loss) for the quarter				(66,906,915)	(66,906,915)
Other comprehensive income (expense) net of taxes				67,005,366	67,005,366
Balance as at 30th June 2023	2,431,879,039	375,736,747	141,120,773	332,368,058	3,281,104,617

Figures in brackets indicate deductions.

Colombo
15th August, 2023

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

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For the period ended 30th June	2023 Rs.	2022 Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	(66,906,915)	66,409,480
Adjustment for:		
Depreciation/amortization	28,487,767	16,409,887
Impairment charges for loans and receivables to customers	37,298,779	15,043,934
Finance expenses	772,771,898	423,144,698
Investment income	100,320,186	(26,312,055)
Provision for gratuity	5,466,000	5,309,967
Operating profit/(Loss) before working capital changes	877,437,715	500,005,912
Change in loans and receivables to customers	(665,082,406)	401,870,285
Change in other assets	(85,981,762)	90,289,616
Change in deposits from customers	1,339,554,862	136,044,788
Change in other liabilities	(21,421,218)	(349,530,188)
	567,069,476	278,674,501
Rent Paid	(20,244,966)	(73,674,667)
Interest paid	(698,890,395)	(276,491,046)
Gratuity paid	(1,755,996)	-
Net cash from/(used in) operating activities	723,615,834	428,514,700
Cash flows from investing activities		
Expenses incurred for real estate stock	(311,640)	(933,525)
Net change in Financial assets - fair value through other comprehensive income	(626,701,255)	(29,405,103)
Net change in investments with bank and other financial institutions	(77,847,940)	204,772,432
Investment income received	43,877,760	19,288,510
Net cash generated from/(used in) investing activities	(660,983,074)	193,722,313
Cash flows from financing activities		
Interest bearing borrowings obtained	-	1,300,000,000
Repayment of interest bearing borrowings	(273,338,913)	(1,653,218,233)
Interest Paid on Borrowings	19,330,564	(177,183,137)
Net cash generated from/(used in) financing activities	(254,008,349)	(530,401,370)
Net change in cash and cash equivalents	(191,375,590)	91,835,643
Cash and cash equivalents at the beginning of the period	67,047,653	(384,131,906)
Cash and cash equivalents at the end of the Quarter	(124,327,937)	(292,296,263)
Analysis of cash and cash equivalents at the end of the period		
Cash in hand	335,249,051	166,601,058
Cash at bank	34,092,832	89,302,392
Bank overdrafts	(493,669,820)	(548,199,714)
	(124,327,937)	(292,296,263)

Figures in brackets indicate deductions.

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
b) Loans - Provision of Loan facilities to customers
c) Factoring - Debt factoring
d) Gold Loan - Provision of loans against gold

For the period ended 30th June	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Others		Total	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Interest income	490,981,807	500,397,577	29,772,170	42,647,492	1,465,408	167,521	412,313,489	202,305,671	100,320,186	26,312,054	1,034,853,060	771,830,314
Fee and commission income	30,244,272	17,085,664	490,809	-	2,460,816	468,673	-	-	6,766,272	-	39,962,168	17,554,338
Other income	2,336,275	16,146,543	467,800	-	-	-	-	-	11,711,830	4,277,850	14,515,905	20,424,392
Total segmental income	523,562,353	533,629,784	30,730,779	42,647,492	3,926,224	636,195	412,313,489	202,305,671	118,798,288	30,589,903	1,089,331,133	809,809,044
Less: Interest expense	(371,415,322)	(284,834,394)	(21,800,426)	(22,284,340)	(2,785,265)	(332,427)	(292,495,337)	(99,709,577)	(84,275,548)	(15,983,960)	(772,771,898)	(423,144,698)
Segmental results	152,147,031	248,795,390	8,930,353	20,363,152	1,140,959	303,768	119,818,152	102,596,093	34,522,740	14,605,943	316,559,235	386,664,347
Depreciation and amortization	(13,692,000)	(10,813,419)	(803,660)	(864,205)	(102,677)	(12,892)	(10,782,684)	(4,099,501)	(3,106,746)	(619,871)	(28,487,767)	(16,409,887)
Impairment charge	(52,165,486)	(12,354,823)	(2,400,960)	(1,992,269)	19,248,072	(696,842)	(1,980,404)	-	-	-	(37,298,778)	(15,043,934)
Other Expenses	(143,864,001)	(176,100,566)	(8,444,177)	(14,073,891)	(1,078,845)	(209,947)	(113,295,137)	(66,761,909)	(32,643,289)	(10,094,825)	(299,325,449)	(267,241,138)
Tax on Financial Services	(8,821,509)	(14,207,062)	(517,784)	(1,135,423)	(66,152,87)	(16,937)	(6,947,076)	(5,386,074)	(2,001,634)	(814,409)	(18,354,156)	(21,559,905)
Profit/(loss) after tax	(66,395,966)	35,319,520	(3,236,227)	2,297,365	19,141,356	(632,850)	(13,187,150)	26,348,608	(3,228,950)	3,076,839	(66,906,915)	66,409,482
Segmental assets	7,857,567,100	9,531,074,306	605,754,258	1,155,653,248	31,621,321	110,767,100	4,483,270,142	3,759,839,933	5,789,938,714	2,422,272,797	18,768,151,536	16,979,607,384
Segmental liabilities	6,483,883,611	7,629,615,434	499,854,504	925,099,267	26,093,187	88,668,953	3,699,491,385	3,009,748,100	4,777,724,232	1,939,026,947	15,487,046,919	13,592,158,702

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2023. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2023.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Second Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>	30-Jun-23	30-Jun-22
Value of Ordinary Shares (Rs.)	2,431,879,039	2,431,879,039
No. of Ordinary Shares	211,101,155	211,101,155
Share Price During the Period	For the Quarter Ended	
	30-Jun-23	30-Jun-22
Highest (Rs)	8.90	13.90
Lowest (Rs)	6.00	6.70
Closing (Rs)	6.80	7.70

Shareholders as at 30th June 2023

	Name	No. of Shares	%
1	Janashakthi Limited Account No. 01	93,644,438	44.36
2	Seylan Bank Plc/Janashakthi PLC	90,000,000	42.63
3	Seylan Bank Plc/Janashakthi Capital Limited	11,810,999	5.59
4	First Capital Limited	2,138,299	1.01
5	Sandwave Limited	1,475,799	0.70
6	DFCC Bank Plc/GAC De Silva	1,079,000	0.51
7	Mr. A. Rajaratnam	704,183	0.33
8	Commercial Bank of Ceylon PLC/Janashakthi Limited	555,057	0.26
9	Mr. RABK Kumara	500,000	0.24
10	Hatton National Bank PLC/Mushtaq Mohamed Fuad	420,200	0.20
11	Mrs. IPIL Gunathilaka	406,750	0.19
12	LOLC Finance Plc/VS Rajasooriyar	375,000	0.18
13	Mr. RM Hindurangala	361,260	0.17
14	Mr. LP Mendis	358,695	0.17
15	Commercial Bank Of Ceylon PLC/D. Ramachandran	350,000	0.17
16	Mrs. S. Vasudevan	347,024	0.16
17	Hatton National Bank PLC/ Koralagodage Don Sahan Rachitra		
18	Kulatunga & Mrs. Oshadhini Upulika Kumari Jayasundara	282,462	0.13
19	Mr. P. Ramachandran	250,000	0.12
20	Seylan Bank PLC/Haloluwa Gedara Nilupul Gamini Haloluwa	246,886	0.12
21	Seylan Bank PLC/Mohamed Mushtaq Fuad	215,489	0.10
22	Mr. MK. De Livera	207,629	0.10
	Miss HMDA. Wijayawardena	147,850	0.07
	Others	5,224,135	2.49
	Total	211,101,155	100.00

Directors' Shareholding as at 30th June 2023

	Name of the Director	No. of Shares	%
1	Mr. Rajendra Theagarajah - Chairman	-	-
2	Mr. Prakash Anand Schaffter	10	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekera	-	-
5	Mr. Sriyan Cooray	-	-
6	Mr. R.M.D.J. Ratnayake	-	-
7	Mr. K.M.M. Jabir	-	-
8	Mr. Nalin Karunaratne	-	-
	Total	10	-

CEO's Shareholding as at 30th June 2023

Mr. K.M.M. Jabir	-	-
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Public Holding as at 30th June 2023

Number of Public Shareholders	12,952,342
Public Shareholding Percentage	872
Float Adjusted market capitalization (Rs)	6.14%
	88,080,098

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.